

Solstice Retail Holdings, Inc.

Annual Report — Fiscal Year 2025

(For the fiscal year ended December 31, 2025)

NOTE: This is a fictional company created for internal testing purposes only. It does not represent any real business, and none of the figures in this document should be interpreted as real financial data.

Table of Contents

Part I — Business Overview

Item 1A — Risk Factors

Item 7 — Management's Discussion and Analysis

Item 8 — Financial Statements

Notes to Financial Statements

Report of Independent Registered Public Accounting Firm

Item 9A — Controls and Procedures

Signatures

Part I

Item 1. Business Overview

Store Retail Operations

Solstice Retail Holdings, Inc. operates through its Store Retail Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Store Retail Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Store Retail Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment.

E-Commerce and Digital Channels

Solstice Retail Holdings, Inc. operates through its E-Commerce and Digital Channels segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its E-Commerce and Digital Channels segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its E-Commerce and Digital Channels segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment.

Logistics and Distribution

Solstice Retail Holdings, Inc. operates through its Logistics and Distribution segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued

margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Logistics and Distribution segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Logistics and Distribution segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment.

Private Label Merchandise

Solstice Retail Holdings, Inc. operates through its Private Label Merchandise segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Private Label Merchandise segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its Private Label Merchandise segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment.

International Operations

Solstice Retail Holdings, Inc. operates through its International Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment. Solstice Retail Holdings, Inc. operates through its International Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming

locations within this segment. Solstice Retail Holdings, Inc. operates through its International Operations segment, serving customers across a network of physical and digital storefronts. During fiscal year 2025, this segment faced continued margin pressure from rising input costs, elevated promotional activity intended to defend market share, and softer discretionary spending among the Company's core customer base. Management continues to evaluate cost-reduction initiatives and portfolio rationalization across underperforming locations within this segment.

Item 1A. Risk Factors

Liquidity and Financing Risk

The Company's current liabilities exceed its current assets, and there can be no assurance that the Company will be able to refinance or extend its near-term obligations on acceptable terms, or at all. The Company's current liabilities exceed its current assets, and there can be no assurance that the Company will be able to refinance or extend its near-term obligations on acceptable terms, or at all.

Leverage Risk

The Company carries a substantial amount of debt relative to stockholders' equity. A sustained inability to reduce leverage could impair the Company's ability to invest in operations or respond to competitive pressure. The Company carries a substantial amount of debt relative to stockholders' equity. A sustained inability to reduce leverage could impair the Company's ability to invest in operations or respond to competitive pressure.

Profitability Risk

The Company reported a net loss for fiscal year 2025, driven by declining gross margins, elevated markdown activity, and increased occupancy and labor costs relative to revenue. The Company reported a net loss for fiscal year 2025, driven by declining gross margins, elevated markdown activity, and increased occupancy and labor costs relative to revenue.

Cash Flow Risk

Net cash used in operating activities was negative for the period. Continued negative operating cash flow could require the Company to seek additional external financing, which may not be available on favorable terms. Net cash used in operating activities was negative for the period. Continued negative operating cash flow could require the Company to seek additional external financing, which may not be available on favorable terms.

Going Concern Considerations

As described further in the Report of Independent Registered Public Accounting Firm, recurring losses and negative cash flow from operations raise substantial doubt about the Company's ability to continue as a going concern within twelve months of the date of this report. As described further in the Report of Independent Registered Public Accounting Firm, recurring losses and negative cash flow from operations raise substantial doubt about the Company's ability to continue as a going concern within twelve months of the date of this report.

Competitive Risk

The retail sector in which the Company operates is highly competitive. Larger, better-capitalized competitors may be better positioned to withstand a prolonged period of margin compression. The retail sector in which the Company operates is highly competitive. Larger, better-capitalized competitors may be better positioned to withstand a prolonged period of margin compression.

Supply Chain Risk

Disruptions to the Company's supply chain, including vendor concentration and shipping cost volatility, could further pressure gross margins. Disruptions to the Company's supply chain, including vendor concentration and shipping cost volatility, could further pressure gross margins.

Customer Concentration Risk

A meaningful portion of wholesale revenue is derived from a small number of large retail partners, and the loss of any one relationship could materially affect results. A meaningful portion of wholesale revenue is derived from a small number of large retail partners, and the loss of any one relationship could materially affect results.

Interest Rate Risk

A significant portion of the Company's outstanding borrowings carry variable interest rates. Increases in benchmark rates would increase the Company's interest expense and further pressure net income. A significant portion of the Company's outstanding borrowings carry variable interest rates. Increases in benchmark rates would increase the Company's interest expense and further pressure net income.

Regulatory and Legal Risk

The Company is subject to a range of labor, consumer protection, and environmental regulations across the jurisdictions in which it operates, and changes to these regulations could increase compliance costs. The Company is subject to a range of labor, consumer protection, and environmental regulations across the jurisdictions in which it operates, and changes to these regulations could increase compliance costs.

Item 7. Management's Discussion and Analysis

Results of Operations

Total revenue for fiscal year 2025 was \$3,180.5 million, compared to \$3,340.2 million in the prior fiscal year, a decline driven by softer store traffic and increased promotional discounting. Net loss for the period was \$142.3 million, compared to net income of \$38.7 million in the prior fiscal year. Total revenue for fiscal year 2025 was \$3,180.5 million, compared to \$3,340.2 million in the prior fiscal year, a decline driven by softer store traffic and increased promotional discounting. Net loss for the period was \$142.3 million, compared to net income of \$38.7 million in the prior fiscal year. Total revenue for fiscal year 2025 was \$3,180.5 million, compared to \$3,340.2 million in the prior fiscal year, a decline driven by softer store traffic and increased promotional discounting. Net loss for the period was \$142.3 million, compared to net income of \$38.7 million in the prior fiscal year.

Liquidity and Capital Resources

As of December 31, 2025, the Company had cash and cash equivalents of \$64.2 million and total current liabilities of \$980.1 million against total current assets of \$706.5 million, resulting in a current ratio below 1.0. Net cash used in operating activities was \$95.0 million for fiscal year 2025. As of December 31, 2025, the Company had cash and cash equivalents of \$64.2 million and total current liabilities of \$980.1 million against total current assets of \$706.5 million, resulting in a current ratio below 1.0. Net cash used in operating activities was \$95.0 million for fiscal year 2025. As of December 31, 2025, the Company had cash and cash equivalents of \$64.2 million and total current liabilities of \$980.1 million against total current assets of \$706.5 million, resulting in a current ratio below 1.0. Net cash used in operating activities was \$95.0 million for fiscal year 2025.

Capital Structure

Total liabilities as of December 31, 2025 were \$4,870.0 million against total assets of \$5,230.0 million, resulting in total stockholders' equity of \$360.0 million and a debt-to-equity ratio well above the Company's historical range. Total liabilities as of December 31, 2025 were \$4,870.0 million against total assets of \$5,230.0 million, resulting in total stockholders' equity of \$360.0 million and a debt-to-equity ratio well above the Company's historical range. Total liabilities as of December 31, 2025 were \$4,870.0 million against total assets of \$5,230.0 million, resulting in total stockholders' equity of \$360.0 million and a debt-to-equity ratio well above the Company's historical range.

Outlook

Management continues to pursue cost-reduction initiatives, including store rationalization and renegotiation of vendor terms, and is evaluating additional financing alternatives to support liquidity over the next twelve months. Management continues to pursue cost-reduction initiatives, including store rationalization and renegotiation of vendor terms, and is evaluating additional financing alternatives to support liquidity over the next twelve months. Management continues to pursue cost-reduction initiatives, including store rationalization and renegotiation of vendor terms, and is evaluating additional financing alternatives to support liquidity over the next twelve months.

prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales. During Q3 2025, revenue trends remained pressured relative to the comparable prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales.

Quarterly Commentary — Q4 2025

During Q4 2025, revenue trends remained pressured relative to the comparable prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales. During Q4 2025, revenue trends remained pressured relative to the comparable prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales. During Q4 2025, revenue trends remained pressured relative to the comparable prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales. During Q4 2025, revenue trends remained pressured relative to the comparable prior-year period, with gross margin continuing to decline due to elevated promotional intensity and higher input costs. Operating expenses as a percentage of revenue increased year-over-year, reflecting the Company's largely fixed store-level cost base against declining comparable sales.

Item 8. Financial Statements

Consolidated Balance Sheet (in millions)

	FY2025	FY2024
Cash and cash equivalents	\$64.2	\$118.9
Total current assets	\$706.5	\$812.3
Total assets	\$5,230.0	\$5,410.6
Total current liabilities	\$980.1	\$845.0
Total liabilities	\$4,870.0	\$4,560.3
Total stockholders' equity	\$360.0	\$850.3

Consolidated Statement of Operations (in millions, except per share data)

	FY2025	FY2024
Total revenue	\$3,180.5	\$3,340.2
Cost of goods sold	\$2,290.6	\$2,270.1
Gross profit	\$889.9	\$1,070.1
Operating expenses	\$960.4	\$920.8
Operating income (loss)	(\$70.5)	\$149.3
Interest expense	\$58.2	\$41.9
Net income (loss)	(\$142.3)	\$38.7
Diluted earnings (loss) per share	(\$1.12)	\$0.31

Consolidated Statement of Cash Flows (in millions)

	FY2025	FY2024
Net income (loss)	(\$142.3)	\$38.7
Net cash used in operating activities	(\$95.0)	\$62.4
Net cash used in investing activities	(\$40.1)	(\$55.6)
Net cash provided by financing activities	\$80.4	\$20.0
Net change in cash	(\$54.7)	\$26.8

Notes to Financial Statements

Note 1 — Basis of Presentation

These consolidated financial statements have been prepared in accordance with generally accepted accounting principles and include the accounts of Solstice Retail Holdings, Inc. and its wholly owned subsidiaries. These consolidated financial statements have been prepared in accordance with generally accepted accounting principles and include the accounts of Solstice Retail Holdings, Inc. and its wholly owned subsidiaries. These consolidated financial statements have been prepared in accordance with generally accepted accounting principles and include the accounts of Solstice Retail Holdings, Inc. and its wholly owned subsidiaries. These consolidated financial statements have been prepared in accordance with generally accepted accounting principles and include the accounts of Solstice Retail Holdings, Inc. and its wholly owned subsidiaries. These consolidated financial statements have been prepared in accordance with generally accepted accounting principles and include the accounts of Solstice Retail Holdings, Inc. and its wholly owned subsidiaries.

Note 2 — Summary of Significant Accounting Policies

Revenue is recognized at the point of sale for retail transactions and upon delivery for wholesale and e-commerce transactions, net of estimated returns and promotional allowances. Revenue is recognized at the point of sale for retail transactions and upon delivery for wholesale and e-commerce transactions, net of estimated returns and promotional allowances. Revenue is recognized at the point of sale for retail transactions and upon delivery for wholesale and e-commerce transactions, net of estimated returns and promotional allowances. Revenue is recognized at the point of sale for retail transactions and upon delivery for wholesale and e-commerce transactions, net of estimated returns and promotional allowances. Revenue is recognized at the point of sale for retail transactions and upon delivery for wholesale and e-commerce transactions, net of estimated returns and promotional allowances.

Note 3 — Revenue Recognition

Disaggregated revenue by channel is presented below. Store retail revenue declined year-over-year, partially offset by modest growth in e-commerce revenue, which was insufficient to offset overall softness in comparable sales. Disaggregated revenue by channel is presented below. Store retail revenue declined year-over-year, partially offset by modest growth in e-commerce revenue, which was insufficient to offset overall softness in comparable sales. Disaggregated revenue by channel is presented below. Store retail revenue declined year-over-year, partially offset by modest growth in e-commerce revenue, which was insufficient to offset overall softness in comparable sales. Disaggregated revenue by channel is presented below. Store retail revenue declined year-over-year, partially offset by modest growth in e-commerce revenue, which was insufficient to offset overall softness in comparable sales. Disaggregated revenue by channel is presented below. Store retail revenue declined year-over-year, partially offset by modest growth in e-commerce revenue, which was insufficient to offset overall softness in comparable sales.

Note 4 — Inventory

Inventory is stated at the lower of cost or net realizable value. The Company recorded incremental markdown reserves during fiscal year 2025 reflecting elevated promotional activity and slower-than-expected sell-through in certain categories. Inventory is stated at the lower of cost or net realizable value. The Company recorded incremental markdown reserves during fiscal year 2025 reflecting elevated promotional activity and slower-than-expected sell-through in certain categories. Inventory is stated at the lower of cost or net realizable value. The Company recorded incremental markdown reserves during fiscal year 2025 reflecting elevated promotional activity and slower-than-expected sell-through in certain categories. Inventory is stated at the lower of cost or net realizable value. The Company recorded incremental markdown reserves during fiscal year 2025 reflecting elevated promotional activity and slower-than-expected sell-through in certain categories. Inventory is stated at the lower of cost or net realizable value. The Company recorded incremental markdown reserves during fiscal year 2025 reflecting elevated promotional activity and slower-than-expected sell-through in certain categories.

Note 5 — Property and Equipment

Property and equipment, net, consists primarily of store fixtures, leasehold improvements, and distribution center equipment, and is depreciated on a straight-line basis over estimated useful lives. Property and equipment, net, consists primarily of store fixtures, leasehold improvements, and distribution center equipment, and is depreciated on a straight-line basis over estimated useful lives. Property and equipment, net, consists primarily of store fixtures, leasehold improvements, and distribution center equipment, and is depreciated on a straight-line basis over estimated useful lives. Property and equipment, net, consists primarily of store fixtures, leasehold improvements, and distribution center equipment, and is depreciated on a straight-line basis over estimated useful lives. Property and equipment, net, consists primarily of store fixtures, leasehold improvements, and distribution center equipment, and is depreciated on a straight-line basis over estimated useful lives.

Note 6 — Long-Term Debt

The Company's long-term debt consists of a senior secured term loan facility and revolving credit facility, both of which carry variable interest rates tied to a benchmark reference rate plus an applicable margin. As of December 31, 2025, the Company was in compliance with its financial covenants, but continued deterioration in operating results could result in a covenant breach in future periods. The Company's long-term debt consists of a senior secured term loan facility and revolving credit facility, both of which carry variable interest rates tied to a benchmark reference rate plus an applicable margin. As of December 31, 2025, the Company was in compliance with its financial covenants, but continued deterioration in operating results could result in a covenant breach in future periods. The Company's long-term debt consists of a senior secured term loan facility and revolving credit facility, both of which carry variable interest rates tied to a benchmark reference rate plus an applicable margin. As of December 31, 2025, the Company was in compliance with its financial covenants, but continued deterioration in operating results could result in a covenant breach in future periods. The Company's long-term debt consists of a senior secured term loan facility and revolving credit facility, both of which carry variable interest rates tied to a benchmark reference rate plus an applicable margin. As of December 31, 2025, the Company was in compliance with its financial covenants, but continued deterioration in operating results could result in a covenant breach in future periods. The Company's long-term debt consists of a senior secured term loan facility and revolving credit facility, both of which carry variable interest rates tied to a benchmark reference rate plus an applicable margin. As of December 31, 2025, the Company was in compliance with its financial covenants, but continued deterioration in operating results could result in a covenant breach in future periods.

Note 7 — Leases

The Company leases substantially all of its retail store locations and certain distribution facilities under non-cancelable operating leases with remaining terms ranging from one to twelve years. The Company leases substantially all of its retail store locations and certain distribution facilities under non-cancelable operating leases with remaining terms ranging from one to twelve years. The Company leases substantially all of its retail store locations and certain distribution facilities under non-cancelable operating leases with remaining terms ranging from one to twelve years. The Company leases substantially all of its retail store locations and certain distribution facilities under non-cancelable operating leases with remaining terms ranging from one to twelve years. The Company leases substantially all of its retail store locations and certain distribution facilities under non-cancelable operating leases with remaining terms ranging from one to twelve years.

Note 8 — Income Taxes

The Company recorded a valuation allowance against a portion of its deferred tax assets during fiscal year 2025, reflecting uncertainty regarding the Company's ability to generate sufficient future taxable income to realize those assets. The Company recorded a valuation allowance against a portion of its deferred tax assets during fiscal year 2025, reflecting uncertainty regarding the Company's ability to generate sufficient future taxable income to realize those assets. The Company recorded a valuation allowance against a portion of its deferred tax assets during fiscal year 2025, reflecting uncertainty regarding the Company's ability to generate sufficient future taxable income to realize those assets. The Company recorded a valuation allowance against a portion of its deferred tax assets during fiscal year 2025, reflecting uncertainty regarding the Company's ability to generate sufficient future taxable income to realize those assets. The Company recorded a valuation allowance against a portion of its deferred tax assets during fiscal year 2025, reflecting uncertainty regarding the Company's ability to generate sufficient future taxable income to realize those assets.

Note 9 — Commitments and Contingencies

The Company is party to various legal proceedings arising in the ordinary course of business. Management does not believe the resolution of these matters will have a material adverse effect on the Company's financial position, though outcomes cannot be predicted with certainty. The Company is party to various legal proceedings arising in the ordinary course of business. Management does not believe the resolution of these matters will have a material adverse effect on the Company's financial position, though outcomes cannot be predicted with certainty. The Company is party to various legal proceedings arising in the ordinary course of business. Management does not believe the resolution of these matters will have a material adverse effect on the Company's financial position, though outcomes cannot be predicted with certainty. The Company is party to various legal proceedings arising in the ordinary course of business. Management does not believe the resolution of these matters will have a material adverse effect on the Company's financial position, though outcomes cannot be predicted with certainty. The Company is party to various legal proceedings arising in the ordinary course of business. Management does not believe the resolution of these matters will have a material adverse effect on the Company's financial position, though outcomes cannot be predicted with certainty.

Note 10 — Related Party Transactions

The Company leases its corporate headquarters from an entity affiliated with a member of its board of directors under arm's-length terms consistent with prevailing market rates. The Company leases its corporate headquarters from an entity affiliated with a member of its board of directors under arm's-length terms consistent with prevailing market rates. The Company leases its corporate headquarters from an entity affiliated with a member of its board of directors under arm's-length terms consistent with prevailing market rates. The Company leases its corporate headquarters from an entity affiliated with a member of its board of directors under arm's-length terms consistent with prevailing market rates. The Company leases its corporate headquarters from an entity affiliated with a member of its board of directors under arm's-length terms consistent with prevailing market rates.

Note 11 — Segment Information

The Company operates in a single reportable segment, retail merchandising, with disaggregated revenue disclosed by channel in Note 3. The Company operates in a single reportable segment, retail merchandising, with disaggregated revenue disclosed by channel in Note 3. The Company operates in a single reportable segment, retail merchandising, with disaggregated revenue disclosed by channel in Note 3. The Company operates in a single reportable segment, retail merchandising, with disaggregated revenue disclosed by channel in Note 3. The Company operates in a single reportable segment, retail merchandising, with disaggregated revenue disclosed by channel in Note 3.

Note 12 — Subsequent Events

Subsequent to fiscal year end, the Company engaged financial advisors to evaluate strategic alternatives, including potential amendments to its credit facilities, in light of the conditions described in Note 6 and the Report of Independent Registered Public Accounting Firm. Subsequent to fiscal year end, the Company engaged financial advisors to evaluate strategic alternatives, including potential amendments to its credit facilities, in light of the conditions described in Note 6 and the Report of Independent Registered Public Accounting Firm. Subsequent to fiscal year end, the Company engaged financial advisors to evaluate strategic alternatives, including potential amendments to its credit facilities, in light of the conditions described in Note 6 and the Report of Independent Registered Public Accounting Firm. Subsequent to fiscal year end, the Company engaged financial advisors to evaluate strategic alternatives, including potential amendments to its credit facilities, in light of the conditions described in Note 6 and the Report of Independent Registered Public Accounting Firm. Subsequent to fiscal year end, the Company engaged financial advisors to evaluate strategic alternatives, including potential amendments to its credit facilities, in light of the conditions described in Note 6 and the Report of Independent Registered Public Accounting Firm.

Item 1B. Human Capital

As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends. As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends. As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends. As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends. As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends. As of December 31, 2025, the Company employed approximately 18,400 associates, the substantial majority of whom work in store-level retail positions. The Company continues to invest in training and retention programs, though elevated turnover in store-level roles remained a challenge during fiscal year 2025, consistent with broader retail labor market trends.

Item 1C. Cybersecurity

The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve. The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve. The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve. The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve. The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve. The Company maintains a cybersecurity risk management program overseen by the Audit Committee of the Board of Directors. During fiscal year 2025, the Company did not identify any cybersecurity incidents that resulted in a material adverse effect on its business, financial condition, or results of operations, although the Company acknowledges that risks in this area continue to evolve.

Environmental and Social Matters

The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report. The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report. The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report. The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report. The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report. The Company discloses information regarding its environmental and social initiatives, including energy usage at distribution facilities and community engagement programs, in its separate sustainability report, which is not incorporated by reference into this annual report.

Report of Independent Registered Public Accounting Firm

To the Board of Directors and Stockholders of Solstice Retail Holdings, Inc.:

We have audited the accompanying consolidated balance sheet of Solstice Retail Holdings, Inc. as of December 31, 2025, and the related consolidated statements of operations, cash flows, and stockholders' equity for the year then ended. In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company, in conformity with generally accepted accounting principles.

Substantial Doubt about the Company's Ability to Continue as a Going Concern

The Company has incurred a net loss and negative cash flow from operations during the year ended December 31, 2025, and its current liabilities exceed its current assets as of that date. These conditions raise substantial doubt about the Company's ability to continue as a going concern. Management's plans regarding these matters are described in Note 6 and Note 12 to the financial statements. The financial statements do not include any adjustments that might result from the outcome of this uncertainty.

This qualification does not affect our unqualified opinion on the fairness of the presentation of the financial statements themselves.

Item 9A. Controls and Procedures

Management has evaluated the effectiveness of the Company's disclosure controls and procedures as of December 31, 2025, and concluded that they were effective at the reasonable assurance level. No material weaknesses in internal control over financial reporting were identified during the period.

Signatures

Pursuant to the requirements of applicable securities laws, this report has been signed below by the following persons on behalf of the registrant and in the capacities indicated, as of the date set forth on the cover page of this report.

/s/ Fictional Signatory

Chief Executive Officer

/s/ Fictional Signatory

Chief Financial Officer

Item 2. Properties

The Company leases substantially all of its retail locations, distribution centers, and corporate offices. As of December 31, 2025, the Company operated 412 retail locations across 28 states, along with three regional distribution centers.

Northeast Region

The Northeast Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Northeast Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Northeast Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year.

Midwest Region

The Midwest Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Midwest Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Midwest Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year.

Southern Region

The Southern Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Southern Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Southern Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year.

Western Region

The Western Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer

comparable sales and elevated promotional activity relative to the prior fiscal year. The Western Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year. The Western Region accounted for a meaningful share of total store count as of fiscal year end. Store performance within this region reflected the broader trends described in Item 7, including softer comparable sales and elevated promotional activity relative to the prior fiscal year.

Item 3. Legal Proceedings

From time to time, the Company is involved in legal proceedings arising in the ordinary course of business, including matters related to employment, consumer protection, and commercial disputes. The Company does not believe any currently pending matter, individually or in the aggregate, is likely to have a material adverse effect on its financial condition, although litigation outcomes are inherently uncertain. From time to time, the Company is involved in legal proceedings arising in the ordinary course of business, including matters related to employment, consumer protection, and commercial disputes. The Company does not believe any currently pending matter, individually or in the aggregate, is likely to have a material adverse effect on its financial condition, although litigation outcomes are inherently uncertain. From time to time, the Company is involved in legal proceedings arising in the ordinary course of business, including matters related to employment, consumer protection, and commercial disputes. The Company does not believe any currently pending matter, individually or in the aggregate, is likely to have a material adverse effect on its financial condition, although litigation outcomes are inherently uncertain. From time to time, the Company is involved in legal proceedings arising in the ordinary course of business, including matters related to employment, consumer protection, and commercial disputes. The Company does not believe any currently pending matter, individually or in the aggregate, is likely to have a material adverse effect on its financial condition, although litigation outcomes are inherently uncertain.

Item 5. Market for Registrant's Common Equity

The Company's common stock trades on a national securities exchange. The Company did not repurchase any shares of its common stock during fiscal year 2025 and does not currently intend to pay cash dividends, given its focus on preserving liquidity amid the conditions described in Item 7 and the Report of Independent Registered Public Accounting Firm.

Selected Financial Data (in millions, except per share data)

	FY2025	FY2024	FY2023	FY2022	FY2021
Total revenue	\$3,180.5	\$3,340.2	\$3,401.8	\$3,255.0	\$3,110.4
Net income (loss)	(\$142.3)	\$38.7	\$61.2	\$54.9	\$47.1
Total assets	\$5,230.0	\$5,410.6	\$5,380.2	\$5,240.9	\$5,100.7
Total liabilities	\$4,870.0	\$4,560.3	\$4,400.1	\$4,280.6	\$4,190.2
Diluted EPS	(\$1.12)	\$0.31	\$0.49	\$0.44	\$0.38

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

Interest Rate Risk

The Company is exposed to interest rate risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to interest rate risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to interest rate risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods.

Commodity Price Risk

The Company is exposed to commodity price risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to commodity price risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to commodity price risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods.

Foreign Currency Risk

The Company is exposed to foreign currency risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to foreign currency risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods. The Company is exposed to foreign currency risk in the ordinary course of business. Given the Company's current capital structure and the variable-rate nature of a portion of its outstanding indebtedness, adverse movements could have a disproportionate effect on the Company's results of operations relative to prior periods.

Item 11. Executive Compensation

Information regarding executive compensation, including base salary, annual incentive awards, and long-term equity awards for the Company's named executive officers, is presented in accordance with applicable disclosure requirements. Compensation decisions for fiscal year 2025 reflected the Company's operating performance and were reviewed by the Compensation Committee of the Board of Directors.

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